

## Multiple Choice (10 marks)

1. What is meant by "economic resources" or "factors of production"? Name three categories of resources.
  - (a) Capital, commodities, and currency
  - (b) raw materials, human resources and technology
  - (c) natural resources, artificial resources and human resources
  - (d) Water, oil, and minerals
  - (e) Intellectual property, workforce, and real estate
2. Potential GDP will fall *ceteris paribus* if
  - (a) tariffs protecting domestic jobs are eliminated.
  - (b) the literacy rate improves.
  - (c) the tax rate is lowered.
  - (d) the inflation rate decreases.
  - (e) there is an increase in technological advancements.
3. Which of the following was not a landmark antitrust act?
  - (a) The Antitrust Improvement Act
  - (b) The Federal Trade Commission Act
  - (c) The Clayton Act
  - (d) The Sherman Act
  - (e) The Fair Trade Act
4. The major economic argument for pure capitalism is that it provides maximum economic efficiency. What is the major noneconomic argument?
  - (a) Capitalism results in single authority
  - (b) Capitalism ensures job security
  - (c) Capitalism fosters cultural diversity
  - (d) Capitalism promotes personal freedom
  - (e) Capitalism encourages moral responsibility
5. Inflation
  - (a) stabilizes the value of currency over time.
  - (b) has no impact on purchasing power.

- (c) increases the real value of debt.
- (d) encourages households to save more.
- (e) forces households to save more.

## **True / False (10 marks)**

*Answer True or False*

- 6. True or False: If the market price is above the average total cost, the industry will remain unchanged as firms exit the market.
- 7. True or False: A nation at the natural rate of unemployment is experiencing its highest rate of employment and significant inflation.
- 8. True or False: The demand curve for labor is derived from the demand curve for the output produced by labor.
- 9. True or False: According to Keynesian theory, a decrease in the money supply lowers interest rates, which discourages borrowing and reduces spending.
- 10. True or False: The bank's actual reserves are \$50,000, calculated by adding excess reserves to the required reserves.

## **Long Form Response (20 marks)**

*Answer each question with a clear and complete explanation.*

- 11. Discuss the role of product differentiation in monopolistic competition and analyze how it impacts firms' pricing power and market dynamics.
- 12. Discuss how a progressive income tax system contributes to economic stability, analyzing its effects on consumer behavior and government revenue during different economic cycles.

*End of Paper*